

Real Estate Jargon Field Guide

Quick reference for high-level ESL learners who need precise real estate vocabulary and transaction language

Audience: advanced ESL learners in residential sales, leasing, property management, commercial real estate, transaction coordination, and related roles

Focus: high-level professional English for real estate workplaces, including agency, representation agreements, buyer and seller consultations, pricing, property descriptions, fair housing, offers, contingencies, inspections, appraisals, financing, disclosures, title, escrow, closings, leasing, commercial basics, and realistic transaction dialogue.

Designed for advanced ESL learners who work as agents, brokers, assistants, transaction coordinators, property managers, leasing staff, commercial real estate staff, relocation specialists, mortgage-adjacent staff, title-adjacent staff, or real-estate business partners.

Teaching stance: real estate English is trust, precision, and risk control under time pressure. Learners need language that is persuasive but not misleading, helpful but not discriminatory, confident but not legally careless. This curriculum teaches professional communication and judgment, not state-specific legal advice.

How to Use Real Estate Jargon Well

- Use the term only when it clarifies the role, document, risk, deadline, or decision.
- Pair jargon with plain English for clients: define the term and explain what it changes in the transaction.
- Ask which state law, contract form, brokerage policy, MLS rule, lender instruction, or title or escrow practice applies.
- Avoid neighborhood opinions, legal conclusions, lending promises, undisclosed referral benefits, and unsupported property claims.

Nomenclature and Jargon

Teach these terms as working vocabulary. Learners should be able to define the term, use it in a realistic sentence, ask which state, brokerage, MLS, contract, or lender definition applies, and explain the transaction consequence. Real estate language varies by jurisdiction and role, so learners must not assume one local definition is universal.

Agency, representation, and compensation

Term	Working meaning
Client	A person represented by the real estate professional under an agency or representation relationship.
Customer	A person receiving limited services or information but not represented as a client, depending on state law.
Agency disclosure	Required explanation or document identifying the professional's role and who is represented.
Fiduciary duty	Duties such as loyalty, confidentiality, disclosure, obedience, reasonable care, and accounting, depending on law and role.
Listing agreement	Contract between seller and brokerage defining listing services, term, price, compensation, and conditions.
Buyer representation agreement	Agreement defining buyer services, term, compensation, exclusivity, and other obligations.
Dual agency	Representation of both buyer and seller in the same transaction where allowed and properly disclosed.
Designated agency	Same brokerage but different designated agents represent different clients, where permitted.

Property, market, and valuation

Term	Working meaning
CMA	Comparative market analysis using comparable properties and market data to support pricing.
Comp	Comparable property used to estimate likely market value.
List price	Price at which the property is offered to the market.
Sale price	Final contract or closed price, depending on context.
DOM	Days on market; how long a property has been publicly listed under local rules.
Concession	Seller or landlord contribution to buyer or tenant costs, repairs, or other terms.
Appraisal	Independent opinion of value often required by a lender.
Absorption rate	Pace at which available inventory is sold or leased in a market segment.

Buyer and seller transaction terms

Term	Working meaning
Pre-approval	Lender review indicating likely borrowing capacity, subject to underwriting and property review.
Proof of funds	Documentation showing funds available for cash purchase or down payment.
Earnest money	Deposit showing buyer seriousness, handled according to contract and escrow rules.
Contingency	Contract condition that must be satisfied or waived for the transaction to continue.
Inspection period	Time allowed for property inspection and related negotiations.
Appraisal gap	Difference between contract price and appraised value that can create financing or negotiation issues.
Escalation clause	Offer term that may increase price under specified competing-offer conditions.
Backup offer	Offer accepted or held in position if the primary contract fails, depending on local practice.

Financing, title, escrow, and closing

Term	Working meaning
Loan Estimate	Mortgage disclosure showing estimated loan terms, payments, closing costs, and cash to close.
Closing Disclosure	Mortgage disclosure showing final or near-final loan terms, costs, and cash to close.
Underwriting	Lender review of borrower, property, income, assets, credit, and loan risk.
Clear to close	Lender status indicating conditions are substantially satisfied for closing.
Title search	Review of public records to confirm ownership and identify liens, easements, or other issues.
Lien	Legal claim against property that may need resolution before or during closing.
Escrow	Neutral holding and coordination of funds, documents, or closing conditions, depending on state practice.
Proration	Allocation of taxes, HOA dues, rent, or other costs between parties by date.

Disclosure, fair housing, and risk

Term	Working meaning
Protected class	A legally protected characteristic under federal, state, or local fair housing laws.
Steering	Directing people toward or away from housing based on protected-class characteristics.
Redlining	Denying or limiting housing-related services in areas based on protected characteristics or similar unlawful criteria.
Blockbusting	Inducing sales by suggesting protected-class changes will affect property values or neighborhood conditions.
Reasonable accommodation	Change in rules or services that may be needed for a person with a disability.
Material fact	Fact that could affect a party's decision or property value, subject to applicable law.
Lead-based paint disclosure	Federal disclosure requirements for many pre-1978 residential properties.
RESPA Section 8	Federal restrictions on kickbacks, unearned fees, and referral payments in covered settlement services.

Leasing, property management, and commercial

Term	Working meaning
Lease term	Length and conditions of a lease agreement.
Security deposit	Funds held to cover certain tenant obligations, subject to state and local rules.
Screening criteria	Objective rental applicant criteria such as income, credit, rental history, and occupancy rules.
Rent roll	Schedule of rents, tenants, lease dates, and payment status for a property.
CAM	Common area maintenance charges in some commercial leases.
NNN	Triple net lease structure where tenant may pay taxes, insurance, and maintenance in addition to base rent.
NOI	Net operating income; property income after operating expenses but before debt service and some other items.
Cap rate	Capitalization rate; NOI divided by property value or price, used as a valuation shorthand.

Common Meeting Moves

Agency and role clarity

- Before I advise you as a client, we need to clarify representation and compensation.
- My role is to explain the process and market context; legal interpretation should come from your attorney.
- This agreement defines the services, term, compensation, and termination process.
- Because the relationship could create a conflict, we need clear disclosure and informed consent before proceeding.

Fair housing and objective resources

- I cannot steer you based on who lives in an area, but I can help you compare objective criteria.
- Let's define what matters to you: commute, schools, budget, property condition, noise, transit, or amenities.
- I can direct you to public resources so you can make your own neighborhood assessment.
- The safest description focuses on property features, not the type of person who might live there.

Pricing and market data

- The strongest price recommendation is the one we can defend with relevant comps.
- If we list above the evidence, we should agree now on a review point and adjustment plan.
- Active listings show competition; closed sales show what buyers actually paid.
- A premium price needs premium evidence: condition, location, scarcity, upgrades, or buyer demand.

Offer and negotiation

- A stronger offer is not only higher price; it is also certainty, timing, and cleaner terms.
- Waiving a contingency may make the offer more competitive, but it also changes your risk.
- Let's separate what we want, what we can support, and what we are willing to risk.
- I recommend we put the request in specific, document-supported terms.

Transaction coordination

- Here is the current status, the open item, the owner, and the deadline.
- I do not want to overpromise; I will confirm in writing once the lender updates us.
- This issue may affect closing timing, so I am escalating it now.
- Let's keep communication factual and avoid assigning blame before we know the cause.

Risk and ethics

- I cannot accept anything of value in exchange for referrals.
- If we know a material issue, hiding it creates more risk than documenting it.
- Let's pause and route this through the broker or compliance before responding.
- The client should understand the consequence before signing or waiving that term.

Fast Contrast Pairs

Do not confuse	Working contrast
Client vs customer	Client is represented; customer may receive information but not full representation, depending on local rules.
List price vs value	List price is strategy; value is supported by market evidence and may differ from appraisal or sale price.
Active vs closed comp	Active listings show competition; closed sales show accepted market behavior.
Pre-qualification vs pre-approval	Pre-approval usually reflects deeper lender review, but still depends on underwriting and property approval.
Inspection issue vs repair obligation	An issue found by inspection does not automatically mean the seller must repair it; the contract controls options.
Appraisal gap vs cash shortage	An appraisal gap is valuation difference; cash shortage is buyer ability to cover funds needed to close.
Referral option vs kickback	Providing options can be appropriate; receiving value for referrals can create RESPA or policy risk.
LOI vs lease	A letter of intent frames commercial terms; the lease creates detailed obligations after review and execution.

Source Orientation

- HUD and DOJ fair housing guidance for protected classes, steering, discriminatory advertising, and housing-related discrimination language.
- HUD Fair Housing Advertising guidance for property advertising and preference, limitation, or discrimination risk.
- CFPB RESPA guidance for settlement-service referral, kickback, and unearned-fee risk language.
- CFPB TRID, Loan Estimate, and Closing Disclosure materials for mortgage disclosure and closing-cost language.
- EPA lead-based paint real estate disclosure guidance for pre-1978 residential sale and lease disclosure language.
- NAR resources on agency, written buyer agreements, compensation disclosure, and the Code of Ethics for industry terminology and professional-practice language.
- State law, local MLS rules, brokerage policy, forms, legal counsel, lender instructions, title or escrow instructions, and property-management rules used by the learner's own organization.